HR-203 Performance Management

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Effective Date: 1 January 2026 Owner: People Operations
Applies to: All permanent employees

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1 Purpose and Scope

This policy describes how performance is managed, reviewed and evaluated. It covers objective setting, ongoing feedback, formal reviews, and how ratings are applied.

It applies to all permanent employees. Fixed-term employees on contracts of twelve months or more are included from their sixth month of service.

2 Principles

Performance is managed continuously rather than annually. The formal review records a conversation that has already been had; it is not the first time an employee learns how they are doing.

Objectives are set jointly. An objective an employee has not agreed to is not an objective, and performance against it is not assessed.

No employee should be surprised by a rating. Where performance falls below expectation, the manager raises it at the time, not at the review.

3 Objective Setting

Objectives are set within four weeks of the start of each performance year, or within four weeks of an employee joining or changing role.

Each employee has between three and six objectives. Fewer than three is usually a sign the role has not been thought through; more than six is a sign of a list rather than a set of priorities.

Each objective states what will be achieved, how it will be measured, and by when. Objectives may be revised in the year by agreement where business priorities change, and the revision is recorded.

4 Ongoing Feedback

Managers hold a documented one-to-one with each employee at least monthly. The one-to-one covers progress against objectives, obstacles, and support needed.

Feedback is given close to the event it concerns. Feedback held back for a formal review has lost most of its value and all of its fairness.

Employees may request feedback from colleagues at any point. Such feedback informs the review but does not by itself determine a rating.

5 Performance Reviews

5.1 Review Cycle and Evaluation

Formal reviews take place twice a year: a mid-year review in July and a year-end review in January. The year-end review determines the performance rating for the year.

Both the employee and the manager prepare a written assessment before the review. The employee's self-assessment is submitted at least three working days before the meeting.

The review covers performance against each objective, how results were achieved, and development for the coming period.

5.2 Performance Ratings

Each employee receives one of four ratings at year end:

Exceptional · consistently delivered beyond the objectives set, with demonstrable impact beyond their own team.

Strong · delivered all objectives to the standard expected.

Developing · delivered most objectives; specific, named gaps remain.

Below expectation · did not deliver several objectives, or delivered them in a way that caused material problems elsewhere.

Ratings are not distributed to a quota. A team in which every member met their objectives may have every member rated Strong.

5.3 Calibration

Before ratings are confirmed, managers in each function meet to calibrate. Calibration tests whether the same standard has been applied across teams, not whether the distribution looks reasonable.

A rating may be changed in calibration only where evidence supports the change. The manager communicates the final rating and the reason for any change.

6 Underperformance

Where performance is below expectation, the manager agrees a written improvement plan with the employee. The plan states what must change, what support is given, and the date by which improvement is assessed.

The period for improvement is normally three months. An improvement plan is a support process, not a disciplinary step, and is held separately from any conduct matter.

Where performance does not improve within the agreed period, the matter is referred to an HR business partner before any further step is taken.

7 Appeals

An employee who disagrees with their final rating may appeal in writing to their manager's manager within ten working days of being told the rating.

The appeal is heard by someone not involved in the original rating. The outcome is given in writing within fifteen working days and is final.

8 Related Policies

Promotion and progression are covered by HR-205. Working hours and attendance are covered by HR-201.

Pay, bonus and salary band questions are not covered by this policy and must be directed to an HR business partner.

9 Records

Performance ratings and review records are retained for six years from the end of the performance year to which they relate. Improvement plans are retained for three years.

10 Review

This policy is reviewed every two years, or earlier where business practice changes.